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Deciphering SEC Proposed Cybersecurity Rules

One set of SEC proposed cybersecurity rules impacts regulated Market Entities Participants the other set of proposed rules applies to Publicly Traded Companies

Market Entities includes :

- broker-dealers
- clearing agencies
- major security-based swap participants
- Municipal Securities Rulemaking Board
- national securities associations
- national securities exchanges
- security-based swap data repositories
- security-based swap dealers, and
- transfer agents
- some requirements apply to a subset referred to as Covered Entities

Regulated Market Entities Participants (broker / dealer)

public has at least until 5-14-23 to submit comments

Rule 10: New cybersecurity requirements

- Establish, maintain, and enforce written policies and procedures that are reasonably designed to address their cybersecurity risks.
- At least annually, required to review and assess the design and effectiveness of their cybersecurity policies and procedures, including whether they reflect changes in cybersecurity risk over the time period covered by the review.
- Give the Commission immediate written electronic notice of a significant cybersecurity incident upon having a reasonable basis to conclude that the significant cybersecurity incident had occurred or is occurring.

Systems Compliance and Integrity **amendment** ("Reg SCI")

Safeguard rule **amendment** ("Regulation S-P")

Rule 10 Fact Sheet
https://www.sec.gov/files/34-97142-fact-sheet.pdf

Excellent Summary
https://www.davispolk.com/insights/client-update/sec-proposes-sweeping-new-package-cybersecurity-requirements-regulated

Publicly Traded Companies

**Not reopened for public comment and experts believe will be passed

These proposed changes target board accountability & consistency on material incident reporting

Require current reporting about material cybersecurity incidents on Form 8-K

Require periodic disclosures regarding

- A registrant's policies and procedures to identify and manage cybersecurity risks
- Management's role in implementing cybersecurity policies and procedures
- Board of directors' cybersecurity expertise, if any, and its oversight of cybersecurity risk
- Updates about previously reported material cybersecurity incidents

Require cybersecurity disclosures to be presented in Inline eXtensible Business Reporting Language (Inline XBRL)

SEC Fact Sheet

https://www.sec.gov/files/33-11038-fact-sheet.pdf

Regulation S-K

- SEC disclosure requirements companies follow when filing registration statements, periodic reports, and other documents
- Guidelines on what companies need to disclose in filings, including financial statements, business descriptions, risk factors, and executive compensation

Forms		
US Companies	Form 10-K	Annual comprehensive overview report of the company's business and financial condition and includes audited financial statements.
	Form 10-Q	Quarterly update version of 10-K
	Form 8-K	An 8-K is a report of unscheduled material events or corporate changes. Companies have 4 business days to file an 8-K for most specified items. Companies use Form 8-K as needed, unlike some other forms that must be filed annually or quarterly.
Canadian Companies	Form 40-F	Annual report filing for companies domiciled in Canada and have securities registered in the United States
	Form 6-K	Form 6-K used by foreign private issuers (FPIs) to update their disclosures with SEC. It calls for sending to the SEC shareholder reports, press releases, and other information that an FPI has already published.
Foreign Companies	Form 20-F	Annual report filing for non-U.S. and non-Canadian companies with securities trading in the U.S.
	Form 6-K	Form 6-K used by foreign private issuers (FPIs) to update their disclosures with SEC. It calls for sending to the SEC shareholder reports, press releases, and other information that an FPI has already published.

Wide range of information including:

- Business description & history
- Risk factors
- Financial statements
- Management's discussion and analysis (MD&A)
- Executive compensation
- Corporate governance
- Legal proceedings

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